On February 23, when Rajasthan chief minister Ashok Gehlot tabled his fourth budget, it sent ripples across India. Social welfare was the big focus, and a major announcement was that the Congress-ruled Rajasthan government will skip the National Pension System (NPS) and revert to the old pension scheme for its staff. At a time when the demand for reverting to the old pension schemes has been growing in many states, Gehlot's declaration is clearly aimed at wooing voters in the next election due in December 2023.

In Uttar Pradesh, where elections are being held, the Samajwadi Party and the Bahujan Samaj Party have already promised that they will revive the old pension system. The chorus has begun in other states too, led by the Congress. Former Haryana chief minister Bhupinder Singh Hooda has demanded the state government do the same. The Madhya Pradesh Congress also echoed the same demand.

In Karnataka, even members of the ruling BJP want the state to revert as "the NPS has failed to deliver the perceived benefits". Much before Gehlot's announcement, back in 2018, Delhi chief minister Arvind Kejriwal had promised to go back to the old system. In Himachal, state government employees took out a nine-day *padayatra* that culminated in Shimla on March 3 demanding a return to the old scheme.

Sensing that there is political capital to be made, Gehlot has decided to get rid of the NPS, even though it was aggressively promoted by former Prime Minister Manmohan Singh, who headed the Congress-led UPA government, and his finance minister P. Chidambaram. "The National Human Rights Commission is looking into it; Kerala, Assam, Himachal Pradesh and Andhra Pradesh have set up committees to review the new scheme and the Second National Judicial Pay Commission has sought exemption from it. The army is already excluded. This shows that employees in other parts of the country are also apprehensive about future security," says Gehlot, adding that without the security net provided by the old pension scheme, the government will lose bright young people to the private sector.

The NPS was originally introduced by the BJP-led NDA government in 2004 as the National Pension Scheme. It became mandatory for all new recruits to the central government from January 1, 2004—except the armed forces—to join the NPS. From May 1, 2009, the system was rolled out for all citizens on a voluntary basis. All states except West Bengal had joined the NPS. As of January 31, the NPS has 15,362,608 members from the government and private sectors.

Financial experts advocating the NPS claim the existing guaranteed pension scheme is unsustainable. Government employees hired before January 1, 2004, get up to 50 per cent of their last drawn salaries as guaranteed pension amount with dearness relief linked to inflation announced every six months. Union finance ministry estimates say between 1993-94 and 2004-05, the ratio of pension expenditure to tax revenue showed a compound growth rate of 21 per cent for the Centre and 27 per cent for the states.

"The rising pension bill at all levels of government will be increasingly difficult to finance in the future, given the other demands on state resources, particularly for enhancing expenditure on essential social sectors such as health and education," former PM Manmohan Singh had said in 2007 while seeking support for the PFRDA (Pension Fund Regulatory and Development Authority) Bill. Even now, the Centre spends around 5 per cent of the total budgeted expenditure on the pensions of employees recruited before 2004. In the 2022-23 budget, the Centre will spend Rs 2,07,132 crore on pensions, which is 4.1 per cent higher than the revised estimate for 2021-22.

The other argument was that the old scheme denied employees the benefits of investing retirement funds in equities and earning higher returns. As Union MoS for finance Bhagwat Karad said in Parliament on February 7, the NPS was introduced "to provide old age income security in a fiscally sustainable manner and to channelise small savings into productive sectors of the economy through prudential investments".

Under the NPS, every government employee is allotted a permanent Retirement Account Number and has to mandatorily contribute 10 per cent of the pay and dearness allowance to the pension fund. The government contributes the same amount—10 per cent—which was hiked to 14 per cent in 2019. This money is invested in debt or equity, according to the employee's choice and said guidelines. The NPS is regulated by the PFRDA, which was

THE NPS NETWORK

As of now, the markets-linked NPS has given better returns to subscribers

CATEGORY	NUMBER OF SUBSCRIBERS	TOTAL FUND CONTRIBUTED	ASSETS UNDER MANAGEMENT (TOTAL MARKET VALUE)
Central government	2,261,514	₹ 1,45,599 crore	₹ 2,12,652 crore
State government	5,514,516	₹ 2,62,978 crore	₹ 3,54,922 crore
Corporate sector	1,359,101	₹ 60,117 crore	₹ 83,767 crore
Unorganised sector	2,038,082	₹ 30,325 crore	₹ 29,776 crore
NPS Swavalamban	4,189,395	₹ 2,977 crore	₹ 4,629 crore
Total	**15,362,608**	**₹ 5,01,995 crore**	**₹ 6,85,745 crore**